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POLICY NUMBER: FP-OPSFIN-131

# Revenue Allowances & Adjustments

This policy provides accounting guidance for revenue allowances and adjustments.

POLICY STATEMENT

**Allowances** refer to a reduction in revenue due to a service problem or service recovery, not an error in posting. Errors in posting, such as posting an incorrect rate or price, are treated as **adjustments** to revenue, regardless of the accounting period in which the error occurred. This policy provides accounting guidelines for both situations.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

ALLOWANCE & ADJUSTMENT GUIDANCE

- 1) In the event of an allowance or an adjustment, a detailed explanation must be entered into PMS or POS, where possible. If PMS or POS does not have the capability to enter a detailed explanation directly into the system, a manual slip (or equivalent) must be used to document the explanation for the allowance or adjustment.
- 2) Where possible, relevant support for the allowance or adjustment should be maintained (i.e., guest letter, email, chargeback notification, etc.) that substantiates the incorrect charge.
- 3) For allowances and adjustments processed in PMS, a system generated report of all allowances and adjustments must be reviewed by the Front Office Manager (or designee) by the end of the next day.
- 4) For allowances and adjustments processed in POS, a system generated report of all allowances and adjustments must be reviewed by the applicable Department Head (or designee) by the end of the next day.
- 5) All discrepancies and/or insufficient supporting documentation must be investigated and addressed as part of the review.
- 6) The reviewed system generated report(s) or a summary of all allowances and adjustments for the day must then be routed for approval to the Operations Leader and Finance Leader, at a minimum. The Operations and Finance Leaders must approve the report(s) within two weeks. The approved report(s) must be maintained.

DEFINITIONS

| TERM/ACRONYM      | DEFINITION                                                                                                        |
|-------------------|-------------------------------------------------------------------------------------------------------------------|
| Finance Leader    | Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).         |
| Operations Leader | Ranking Operations representative for the property (i.e. General Manager, Hotel Director, or Operations Manager). |